

ASCII MASTER FLOW - PANEL 1/12: CONCEPT AND TWO FISCAL GAPS

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Union: broader tax capacity ---- States: service-heavy responsibilities
-> VERTICAL GAP -> Union-State sharing

Unequal State income/cost/ecology -> HORIZONTAL GAP -> inter se sharing

FC = periodic constitutional equalisation; not a permanent spending ministry.

ANSWER: rule-based transfers reconcile autonomy, equity and Union capacity.

ASCII MASTER FLOW - PANEL 2/12: DECODED REVENUE SPINE

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- Art 269 -> specified inter-State taxes assigned to States.
- Art 269A -> inter-State GST levied/collected by Union and apportioned.
- Art 270 -> shareable Union taxes + relevant GST distribution.
- Art 271 -> Union-purpose surcharge excluded from sharing.
- Art 279 -> net proceeds minus collection cost; CAG certificate final.
- Art 279A -> GST Council; not the Article 280 devolution body.

ASCII MASTER FLOW - PANEL 3/12: ARTICLE 280 INSTITUTION

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President -> every fifth year OR earlier -> Chair + four other members.

280(3)(a): vertical share + horizontal allocation.

280(3)(b): principles governing Article 275 grants.

280(3)(bb)/(c): State-fund augmentation for Panchayats/Municipalities.

280(3)(d): additional presidential reference in interests of sound finance.

ASCII MASTER FLOW - PANEL 4/12: 1951 ACT: PEOPLE, INTEGRITY, PROCEDURE

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Chair: public-affairs experience.

Other-member pools: HC qualification | govt finance/accounts

| financial administration | economics.

Interest screen + disqualifications; President-specified term;

reappointment allowed; resignation to President.

Own procedure + specified civil-court inquiry powers; not a court.

ASCII MASTER FLOW - PANEL 5/12: ARTICLE 281 AND IMPLEMENTATION

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Report -> President -> both Houses + explanatory action memorandum.

Advisory != trivial: reasons, publicity and federal bargaining give weight.

Status: accepted | accepted in principle | taken note | separate examination.

Implementation: Presidential order/law -> Budget -> guideline

-> eligibility -> release -> accounts/audit.

ASCII MASTER FLOW - PANEL 6/12: DIVISIBLE POOL AND VERTICAL SHARE

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GTR - excluded surcharge/cess routes - collection cost = shareable net base.

CAG certifies net proceeds; annual disclosure accepted under FC-16.

FC-16 vertical share: 41% of divisible pool, not 41% of GTR.

Pool/GTR average: FC-13 89.2 -> FC-14 82.1 -> FC-15 78.3.

FC-16 rejected inclusion/cap but recognised foregone potential devolution.

ASCII MASTER FLOW - PANEL 7/12: FC-16 HORIZONTAL FORMULA

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GSDP distance 42.5 | Population 2011 17.5 | Demography 10

| Area 10 | Forest 10 | GDP contribution 10.

Demography = inverse population growth 1971-2011; not current TFR.

Area floor = 1.5%. Forest = 80:20 stock/increase, weighted density.

GDP contribution = square-root GSDP share; no separate tax-effort criterion.

ASCII MASTER FLOW - PANEL 8/12: GRANTS AND LOCAL-BODY CHAIN

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Art 275 grants != Art 270 devolution != Art 282 public-purpose grants.
Tied: specified use | untied: broader choice | performance: condition/result.
243-I Governor's SFC -> Panchayat finance; 243-Y -> Municipal finance.
280(3)(bb)/(c) UFC measure -> augment State fund -> onward local transfer.
Current Constitution retains SFC-reference phrase; FC-16 proposed deletion.

ASCII MASTER FLOW - PANEL 9/12: FC-16 LOCAL AND DISASTER NUMBERS

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Local bodies: Rs 7,91,493 crore, 2026-31; accepted design.

Basic:performance 80:20; half of basic tied; performance untied.

State disaster funds: Rs 2,04,401 crore; SDRF:SDMF = 80:20.

National disaster funds: Rs 79,406 crore.

Award corpus != annual Budget provision != actual release.

ASCII MASTER FLOW - PANEL 10/12: FC-14 TO FC-16 + CURRENT STATUS

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FC-14: 42% (2015-20) -> more predictable, relatively untied resources.

FC-15: 41% (2021-26) -> six criteria incl. tax/fiscal effort.

FC-16: 41% (2026-31) -> GDP contribution introduced.

17 Nov 2025 report -> 1 Feb 2026 report + Memorandum laid.

No RDG/sector/State-specific grants; Government took note.

ASCII MASTER FLOW - PANEL 11/12: INSTITUTIONS, CASE AND FISCAL RISKS

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FC allocates | GST Council coordinates GST | NITI advises policy.

CAG certifies/audits | RBI monetary/debt + State-finance evidence.

SFC reviews State-local finance; UFC does not directly allocate locally.

Mohit Minerals (2022): GST Council advice persuasive/non-binding only.

Risks: cesses, conditionality, delayed SFCs, off-budget debt, opaque release.

ASCII MASTER FLOW - PANEL 12/12: TRAPS, REFORMS AND ANSWER SPINE

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TRAPS: Chair+4 | vertical != horizontal | 41% of pool, not GTR
| laying != adoption | grant total != annual release | GST compensation != FC.

REFORM: CAG data | cess purpose/sunset review | timely SFC/accounts
| proportionate conditions | whole-government debt | release dashboard.

ANSWER: define -> Article -> instrument -> claim -> named evidence
-> analysis -> qualification -> reform -> transparent federal conclusion.